# EXECUTIVE SUMMARY

## A. Introduction

Tuguegarao City was originally created on May 1604 as a "mission pueblo". No record is available establishing the law creating the Municipality. However, Cagayan's first City was created by Republic Act No. 8755, "An Act converting the Municipality of Tuguegarao, Cagayan Province into a component City to be known as Tuguegarao City." R.A. No. 8755 was approved on November 4, 1999 and ratified on December 18, 1999.

The audit covered the accounts and operations of the City Government of Tuguegarao for the year 2022 and was aimed at determining whether management presented fairly the financial statements of the City in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

## B. Operational Highlights

The following programs, projects and activities charged under the different sources of funds of Tuguegarao City, Cagayan were completed in CY 2022:

| Programs/Projects/Activities | Location | Total Cost Incurred |
|---|---|---|
| Completion of Tuguegarao City Urban Health Center | CHO, San Gabriel | ₱7,460,322.38 |
| Construction of Four(4) Classrooms,2nd Floor to 3rd Floor | Tug. West High School, Pallua Norte | 7,601,386.40 |
| Construction of One(1) Classroom,2nd floor | Cataggaman Nuevo Elem. School | 1,480,000.05 |
| Repair of DOST Building | Cagayan Nat'l. High School | 1,073,597.79 |
| Construction of Bahay Silangan | Larion Bajo | 4,976,652.05 |
| Sanitary Landfill Development-SLF Cell 2 | Carig Norte | 4,148,591.94 |
| Repair/Rehabilitation of People's Gymnasium | Centro 3 | 1,103,618.31 |
| Maintenance of Roads (Asphalt Overlay) | Along Gonzaga St., Centro 03 | 7,362,997.80 |
| Maintenance of Roads (Asphalt Overlay) | Along Gomez St., Centro 10 | 7,302,951.00 |
| Maintenance of Roads (Asphalt Overlay) | Along Zamora St., Centro 05 | 6,284,266.55 |
| Concreting of Del Paul Street | Centro 11 | 4,369,426.75 |
| Construction of Masonry Drainage Structure | Along Old Airport St., Pengue Ruyu | 3,937,533.50 |
| Construction of Masonry Drainage Structure | Apple St., Pengue Ruyu | 3,930,663.70 |
| Installation of Streetlights | Pinacanauan Nat Tug. Avenue | 12,393,393.60 |
| Installation of Streetlights | Along Junction Libag Norte to Larion Nat'l Road | 8,304,568.96 |
| Maintenance of Roads (Asphalt Overlay) | Along Badaje St., Pengue | 6,398,797.58 |

| Programs/Projects/Activities | Location | Total Cost Incurred |
|---|---|---|
| | Ruyu | |
| Construction of Tuguegarao City Emergency Clinic | Libag Sur | 3,613,678.03 |
| Concreting of St. Stephen Street | Ugac Sur | 2,450,341.90 |
| Construction of Masonry Drainage Structure | Sampaguita St., Tanza | 1,758,260.43 |
| Construction of Masonry Drainage Structure | City Homes, San Gabriel | 1,444,231.07 |
| Maintenance of Roads (Asphalt Overlay) | Caritan Highway, Caritan Centro | 3,110,297.90 |
| Concreting of Marallag Street | Libag Sur-Gosi Norte | 2,758,166.12 |
| Construction of Masonry Drainage Structure | San Jose Village Phase II Road, Atulayan Sur | 2,206,338.32 |
| Construction of Masonry Drainage Structure | Along Maggay St., Ugac Sur | 1,467,370.73 |
| Construction of Masonry Drainage Structure | Along Diciano St. Cataggaman Nuevo | 1,005,735.00 |
| Widening Of Bagay Road | Bagay | 16,353,535.62 |
| Construction of Masonry Drainage Structure | Along San Jose Village, Atulayan Sur | 1,970,886.87 |
| Construction of Masonry Drainage Structure | Carig Sur Outlet, Carig Sur | 1,167,243.00 |
| Construction of Tuguegarao City Public Cemetery Perimeter Fence | Pengue Ruyu | 987,883.53 |
| Construction of Masonry Drainage Structure | Along RG Village, Ugac Norte | 1,626,789.47 |
| Construction of Bahay Silangan Phase II | Larion Bajo | 1,397,591.62 |
| Construction of Tuguegarao City Auction Market,Perimeter Fence | Gosi Norte | 2,315,095.77 |
| Improvement of Tuguegarao City Police Station | Carig Sur | 1,510,355.99 |
| Construction of Masonry Structure | | 17,064,691.50 |
| Construction of Masonry Drainage Structure | Consuelo St., Leonarda | 561,706.10 |
| Construction of Masonry Drainage Structure | Pattaui St., Ugac Norte | 654,200.58 |
| Construction of Masonry Drainage Structure | | 515,397.03 |
| Construction of Masonry Drainage Structure | J. Carag St., Leonarda | 415,816.46 |
| Concreting of Pattaui Street Extension | Ugac Norte | 570,367.80 |
| Construction of Masonry Drainage Structure | Tobias St., Carig Sur | 790,173.08 |
| Improvement of City Hall Building | Assessor’s Office | 264,432.60 |
| Improvement of City Hall Building | Mayor’s Office | 768,719.56 |
| Improvement of City Hall Building | Treasurer’s Office | 264,729.16 |
| Improvement of City Hall Building | Engineering Office, 4th Floor | 391,606.57 |
| Improvement of City Hall Building | 2nd Floor, Treasurers Room | 288,472.80 |
| **Total** | | **₱157,822,882.97** |

## C. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the City Government of Tuguegarao for the year ended December 31, 2022, with comparative figures for CY 2021, are as follows:

| Accounts | 2022 | 2021 | Increase/ (Decrease) |
|---|---|---|---|
| **Financial Condition** | | | |
| Assets | ₱4,275,555,339.91 | ₱3,949,804,305.31 | ₱325,751,034.60 |
| Liabilities | 1,088,761,507.93 | 807,761,506.48 | 281,000,001.45 |
| Government Equity | ₱3,186,793,831.98 | ₱3,142,042,798.83 | ₱ 44,751,033.15 |
| **Results of Operation** | | | |
| Income | ₱1,455,908,021.29 | ₱1,158,279,956.23 | ₱297,628,065.06 |
| Expense | 1,145,584,089.50 | 1,040,447,915.13 | 105,136,174.37 |
| Net Income | ₱ 310,323,931.79 | ₱ 117,832,041.10 | ₱192,491,890.69 |
| **Appropriations, Allotments and Obligations** | | | |
| Appropriations – Current | ₱1,512,403,770.00 | ₱1,731,649,936.00 | (₱219,246,166.00) |
| Allotments – Current | 1,512,403,770.00 | 1,731,649,936.00 | (219,246,166.00) |
| Allotments – Continuing | 2,411,081,921.31 | 2,413,608,676.88 | (2,526,755.57) |
| Obligations – Current | 1,044,554,592.87 | 1,042,668,156.87 | 1,886,436.00 |
| Obligations – Continuing | ₱1,044,554,592.87 | ₱1,328,755,086.19 | (₱284,200,493.32) |

The funds received by the LGU and transferred to other agencies and non-government and people's organizations for CY 2022, with comparative figures for CY 2021, are shown below:

| | 2022 | 2021 | Increase / (Decrease) |
|---|---|---|---|
| **Funds Received from Other Agencies:** | | | |
| Due to NGAs | ₱ 7,743,294.53 | ₱34,997,492.93 | ₱ 2,745,801.60 |
| Due to LGUs | 4,611,149.27 | 10,690,181.00 | 6,079,031.73 |
| Due to GOCCs | ₱ 12,301,028.20 | ₱ 5,079,126.81 | (₱ 2,778,098.61) |
| **Funds Transferred to Other Agencies:** | | | |
| Due from NGAs | ₱ 1,822,385.89 | ₱ 1,623,708.89 | ₱ 198,677.00 |
| Due from LGUs | 17,227,641.41 | 9,429,719.41 | 7,797,922.00 |
| Due from GOCCs | 359,621.63 | 359,621.63 | - |
| Due from NGOs/POs | ₱ 2,049,250.00 | ₱ 49,250.00 | ₱ 2,000,000.00 |

## D. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of Tuguegarao City for the year-ended December 31, 2022 because these are materially misstated by an aggregate amount of ₱71,542,352.22 on account errors, omission and improper accounting treatment of transactions that considered departures from the IPSAS.

Our audit of the financial statements of the City Government of Tuguegarao disclosed misstatements totaling ₱71,542,352.22 in absolute value as follows:

| Account | Asset | Liability | Prior Period Adjustment/ Revenue/ Expense | Total |
|---|---|---|---|---|
| Deferred RPT/SET | ₱ - | ₱ - | ₱1,891,531.41 | ₱1,891,531.41 |
| RPT/SET Receivable | 26,210,705.71 | - | - | 26,210,705.71 |
| Grants and Donations In-Kind | - | - | 13,353,976.80 | 13,353,976.80 |
| Various Payables | - | 30,086,138.30 | - | 30,086,138.30 |
| **Total** | **₱26,210,705.71** | **₱30,086,138.30** | **₱15,245,508.21** | **₱71,542,352.22** |

As a result, the following accounts in the financial statements of the City Government of Tuguegarao were misstated as follows:

| Account | Understatement | Overstatement | Observation No. |
|---|---|---|---|
| RPT/SET | ₱ - | ₱ 1,891,531.41 | 4 |
| RPT/SET Receivable | 26,210,705.71 | - | 2 |
| Grants and Donations In-Kind | 13,353,976.80 | - | 3 |
| Various Payables | - | 30,086,138.30 | 1 |
| **Total** | **₱39,564,682.51** | **₱31,977,669.71** | **₱71,542,352.22** |

## E. Summary of Significant Findings and Recommendations

**1. Other Receivables totaling ₱4,780,437.74 which have been dormant for more than ten (10) years were not yet requested for write-off, thus affects the fair presentation of the said account in the financial statements.**

We recommended that the City Mayor instruct the City Accounting Office to assign one personnel to take charge in the preparation of the required documents for the

request for write-off of dormant accounts in the total amount of ₱4,780,437.74 and immediately submit the same to COA for evaluation.

2. **Real Property Tax (RPT) Receivables and Special Education Tax (SET) Receivables amounting ₱75,691,404.50 each and the corresponding deferred income accounts were not duly established at the beginning of CY 2022, thus, the total assets and liabilities presented in the City's financial statements as of December 31, 2022 are understated.**

   **Moreover, some titled lots in the name of the City were not yet recorded in its books, resulting in the understatement of the Land account presented in the financial statements as of December 31, 2022.**

   We recommended that the City Mayor require:

   a. the City Treasurer's Office to furnish the City Accounting Office the certified list of taxpayers showing the amount due and collectible from them using the updated Real Property Tax Account Register/Taxpayer's index card index card at the beginning of every year; and

   b. the City Accounting Office to immediately draw a Journal Entry Voucher (JEV) to record the debit to Real Property Tax Receivable/Special Education Tax Receivable and credit to Deferred Real Property Tax Income/Deferred Special Education Tax Income, based on the foregoing list.

3. **The Reports on the Physical Count of Property, Plant and Equipment (RPCPPE) were not submitted by the City for CY 2021 and CY 2022 for PPE accounts with a net book value of ₱3,100,457,917.69 as of December 31, 2022.**

   We recommended that the City Mayor create a task force committee that can responsibly and knowledgeably do the conduct of One-Time Cleansing of PPE Account Balances. If possible, assign three to five personnel from each division/office as members of the committee in order to facilitate the counting and determination of whereabouts of items located in their office.

   The Property Officer in coordination with the committee, shall be responsible in the over-all preparation and submission of the required Report on the Physical Count of Property, Plant and Equipment as of December 31, 2022 and every year thereafter.

4. **The Eighteen (18) parcels of land covering an area of at least 19,583 square meters and an estimated book value of P20,495,562.30 based on the Schedule of Real Estate Owned and Controlled by the City and Schedule of Lands generated from the eNGAS as of December 31, 2022 are still without titles or proofs of ownership by the City, thereby exposing these properties to the risk that they may be subjected to disputes or claims by other parties.**

**Moreover, 37 titled lots in the name of the City with an area of 193,313 square meters were not yet recorded in its books due to the absence of fair market values to serve as basis thereof, thereby resulting in the understatement of the Land account presented in the financial statements as of December 31, 2022.**

We recommended that the City Mayor:

a. Require the concerned departments to exert necessary efforts to locate all required documents for the titling of 18 sites which were acquired through donation or purchase by the City; and

b. Direct the Inventory Committee to determine the value of the 37 lots with a total area of 193,313 square meters already titled in the name of the City in order to provide basis in recording the same in the books of accounts of the City by the City Accounting Office.

5. **Mandatory deductions withheld from salaries and wages were not immediately remitted to the concerned agencies in the ensuing month and resulted in the accumulated balance of ₱17,128,484.85 as of December 31, 2022, thus, exposing the City to the risk of imposition of penalties.**

We recommended that the City Accounting Office analyze the unremitted balances in the total amount of ₱17,128,484.85 in order to come-up with the details/composition thereof as basis in remitting to the concerned agencies.

Henceforth, all amounts withheld during the month should be immediately remitted in the ensuing month. It should be emphasized that any penalty imposed against the City shall be the personal liability of the agency withholding agent.

## F. Summary of Total Suspensions, Disallowances and Charges

| Particulars | Beginning Balance | Issued During the Year | Settlement During the Year | Ending Balance | % of Settlement |
|---|---|---|---|---|---|
| **Suspensions** | | | | | |
| Prior Years | ₱3,604,379.67 | ₱0.00 | ₱2,116,020.75 | ₱1,488,358.92 | 58.71% |
| Current Year | 0.00 | 0.00 | 0.00 | 0.00 | 0.00% |
| Total | ₱3,604,379.67 | ₱0.00 | ₱2,116,020.75 | ₱1,488,358.92 | 58.71% |
| | | | | | |
| **Disallowances** | | | | | |
| Prior Years | ₱5,530,053.45 | ₱8,627.92 | ₱43,727.22 | ₱5,494,954.15 | 0.79% |
| Current Year | 0.00 | 0.00 | 0.00 | 0.00 | 0.00% |
| Total | ₱5,530,053.45 | ₱8,627.92 | ₱43,727.22 | ₱5,494,954.15 | 0.79% |
| | | | | | |
| **Charges** | | | | | |
| Prior Years | 0.00 | 0.00 | 0.00 | 0.00 | 0.00% |
| Current Year | 0.00 | 0.00 | 0.00 | 0.00 | 0.00% |
| Total | 0.00 | 0.00 | 0.00 | 0.00 | 0.00% |

Disallowances totaling ₱4,620,330.30 are on appeal with the Commission on Audit.

## G. Status of Implementation of Prior Years' Unimplemented Audit Recommendations

The status of implementation of prior years' audit recommendations embodied in the 2021 Annual Audit Report are summarized as follows:

| | |
|---|---|
| Implemented | 25 |
| Not implemented | 4 |
| Not implemented and reiterated in CY 2022 AAR | 12 |
| Total | 41 |